## 4.2.2 Definition

- **J.R.Batliboi**, "A company's Balance Sheet is not drawn for the purpose of showing what the capital would be worth if the assets were realized and liabilities paid-off, but to show how the capital stands invested".
- **Joseph Lancaster**, "The valuation of assets is therefore an attempt to equitable distribution of the original outlay on the period of the assets usefulness".

## 4.2.3 Objectives of Valuation

1. To assess the correct financial position of the concern.
2. To enquire about the mode of investment of the capital of the concern.
3. To assess the goodwill of the concern.
4. To evaluate the differences in the value of the asset as on the date of purchase and on the date of Balance Sheet.

## 4.2.4 Methods Of Valuation

Valuation of various assets can be made by using different methods of valuation of fixed assets. Some of the major methods are as follows:

1. **Cost Price Method**

   In this method, valuation of assets is made on the basis of purchase price of the assets. This price refers to the price at which an asset is acquired plus expenses incurred in connection with the acquisition of an asset. It is a very simple method of valuing assets.

2. **Market Value Method**

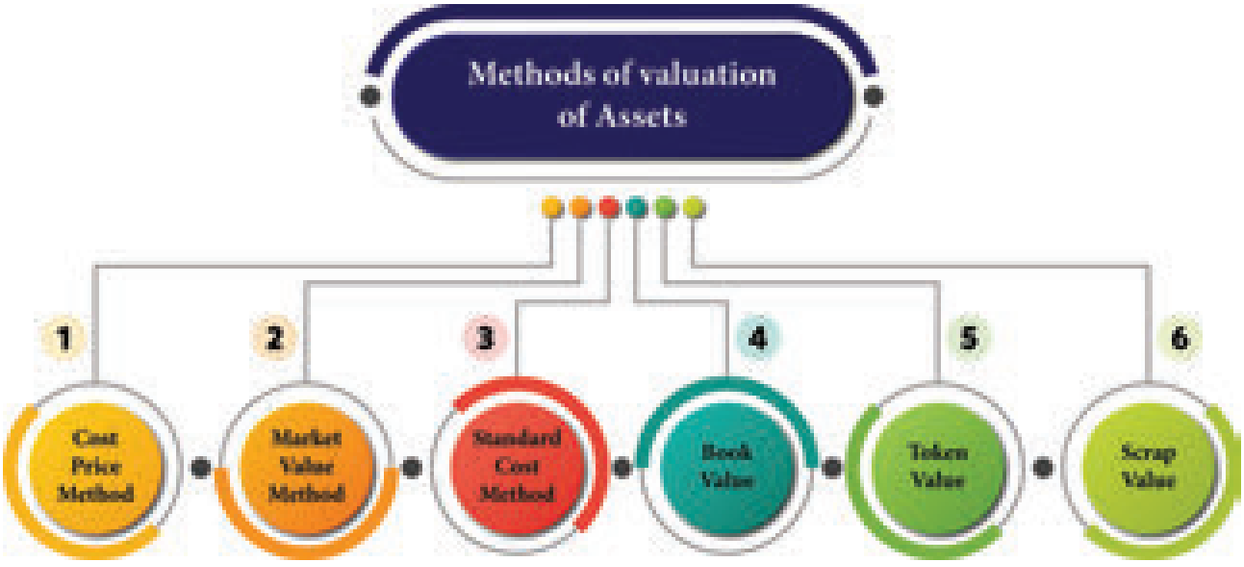
   Valuation of assets can be made on the basis of market price of such assets. But if same nature of assets is not available in the market, it is very difficult to determine the value of such assets. So, there are two methods related to it. They are:

   i. **Replacement Value Method**

   It represents the value at which a given asset can be replaced. This method of valuation of assets can be done only in the case of replacement of the same asset.

   ii. **Net Realizable Value**

   It refers to the price at which such asset can be sold in the market. But expenditure incurred at the sale of such asset should be deducted.






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